PRIORITY 16 OF 33 · SCORE 3.0

Housing and Urban Development

HUD's rental assistance error rate is high (26.4%), but most of it sits in tenant income and eligibility data that are not public. What we can do now is screen the landlords, property owners and disaster grant recipients that public data do name.

INVESTIGATIONS WE PROPOSE

HUD-1	Owner networks with poor inspections and continuing payments. **First prototype.**
HUD-2	CDBG-DR subrecipients and contractors.
HUD-3	Subsidy cost per unit outliers.

EXPOSURE

- Rental Housing Assistance (Sections 8, 236, 811): $4.3B improper (26.4%). Tenant-Based Rental Assistance: $1.5B. (GAO, FY2025)
- Disaster recovery grants (CDBG-DR) and housing grants are recurring HUD OIG fraud areas.

PUBLIC DATA WE USE

- **Multifamily assisted housing data:** properties, contracts, owners and management agents.
- **Inspection scores** for HUD-assisted properties.
- **Picture of Subsidized Households** (aggregate tenant data by area).
- **USAspending** grants, and HUD OIG reports.

HOW WE DETECT IT

1. **Owner networks:** owners and managers controlling many properties with poor inspection scores while still receiving payments.
2. **Grant sub-recipients:** disaster grant contractors that are new, share addresses, or tie to excluded parties.
3. **Area outliers:** subsidy cost per unit far above local peers.

FIRST PROTOTYPE

An owner network view of HUD-assisted multifamily properties joined to inspection scores and SAM.gov exclusions.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 10–13
Jan 18, 2027 to Feb 12, 2027

Workstream
Shared screens

FY2026 outlays
$84.9B · budget rank 11

Leads go to
HUD OIG, Multifamily Housing

WHY PRIORITY 16

Exposure	●●●○○
Public data	●●●○○
SBA method fit	●●●○○
Actionability	●●●○○

OUR REVIEW, DELIVERED WEEK 13

Join the Multifamily Assistance and Section 8 Contracts data to inspection scores (NSPIRE/REAC), owners and management agents, the HUD Limited Denial of Participation list and SAM exclusions; rank owner networks with poor inspections and continuing payments. Run C3 on CDBG-DR subrecipients and contractors using DRGR public reports. Use Picture of Subsidized Households for area cost-per-unit outliers.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF HUD

Phase 2 data: Tenant income (EIV), payment and inspection files.

What it enables: Unreported income; landlord billing for empty units.

Access route: HUD OIG; HUD CFO.

LIMITS

Tenant-level income and payment data are not public, so the main source of improper payments needs agency data in a pilot.

SOURCES

- GAO-26-108694: FY2025 improper payments

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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